

# 165 Randolph St — “The BLOCK”

## Questions, Recommendations & Clarification on the 16 September Master Development Budget

To: Thomas · cc: Nate (Wake), Eric (EBC) — From: Matthew Teper — 17 September 2026, for the 18 September meeting · 1 ·  
**QUESTIONS**

Referenced to your sheet and cell. EBC's 17 September responses are folded in and the questions they closed are gone. Our reasoning is in the Clarification at the back; you should not need it to answer these.

| Cell / line                                                                                | Your line reads                                                                                           | Question                                                                                                                                                                         |
|--------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>BUDGET SUMMARY</b>                                                                      |                                                                                                           |                                                                                                                                                                                  |
| 1 D67                                                                                      | Soft Costs & FFE Contingency 10%                                                                          | Formula is $= (D23+D31+D47+D65) * 0.1$ — 10% of the whole project on top of the contractor's 10% in D29. Please restate to the labelled base and say which contingency you keep. |
| 2 D30                                                                                      | Escalation (Calculated at 5%) — building                                                                  | Blank. What should the building carry?                                                                                                                                           |
| 3 D26                                                                                      | Trade Costs To Be Priced — \$12,000,000                                                                   | More was priced on the 16th. Please send the priced lines.                                                                                                                       |
| 4 D28                                                                                      | Overhead, Profit & Insurance (9% Combined)                                                                | Please confirm the fee runs on unpriced scope but not on general conditions (D27).                                                                                               |
| 5 D21                                                                                      | Parking Garage — 260/spaces                                                                               | Parking is in the deal. Formula reads $= 86 * 25000$ ; please correct the count to the label.                                                                                    |
| 6 B8, D71                                                                                  | SF: 135,953 / \$ PER SF                                                                                   | Sourced (cellar 3,500 + 1st 69,722 + 2nd 53,379 + roof 9,352, PD-04). Please state the basis on the sheet and show \$/SF on the 74,100 SF footprint alongside.                   |
| <b>GENERAL CONDITIONS</b>                                                                  |                                                                                                           |                                                                                                                                                                                  |
| 7 013000-11                                                                                | Project Labor — 1 LS — \$2,000,000                                                                        | Crew, rate and weeks?                                                                                                                                                            |
| <b>BUILDING &amp; FIT-OUT BREAKDOWN</b>                                                    |                                                                                                           |                                                                                                                                                                                  |
| 8 015800-1                                                                                 | Install sidewalk bridge and scaffolding around building — \$4,000,000                                     | Public frontage is about 770 LF, not 1,126. Your backup at 770 LF @ \$500 + 27,024 SF @ \$75 = \$2,411,800. Please reconcile the lump to that.                                   |
| 9 015800-2                                                                                 | Interior scaffolding — \$2,000,000                                                                        | What is staged, at what rate, for how long? Does the sequence assume the ground-supported stage and towers are already up? We suspect not.                                       |
| 10 055100                                                                                  | STRUCTURAL STEEL & MISC METALS — all 19 lines at zero                                                     | Roof is settled as a rebuild. Please price off the VE1 takeoff: 997 short tons (lb column, not tonnes), with the 202 tons of built-up plate columns at their own rate. Then VE2. |
| 11 033000 / 061000 / 064000 / 078100 / 081000 / 084100 / 088000 / 092300 / 096000 / 096050 | Concrete, rough carpentry, millwork, fireproofing, doors, storefront, glazing, tile, flooring, floor prep | Please confirm each is fully priced and send the lines.                                                                                                                          |
| 12 230000-1                                                                                | HVAC System including BMS — 132,542 SF @ \$45                                                             | Please re-cut from load: plant per ton, air side per CFM, \$/SF as a check only. Highland Rev 1 gives about 976 tons and 280,000 CFM.                                            |
| 13 260000 / FF&E 310                                                                       | I/O lighting package \$1,631,436 / Architectural & Exterior Lighting \$1,750,000                          | House lighting and show lighting. Please relabel both, and check the show package against the \$520,000 performance-lighting line in FF&E.                                       |
| 14 100000                                                                                  | Coat Check Lockers — 2,000 EA @ \$500                                                                     | Please propose a count and spec. We hold 750 @ \$350 as a placeholder.                                                                                                           |
| 15 220000                                                                                  | W/C, Lavs, Urinals — 178 / 154 / 51 @ \$4,000                                                             | Code A-1/A-2 count is 168 WC, 51 urinals, 156 lavatories (M 60/51/78, F 108/-/78). Please tie to that; Nate will attach the calculation.                                         |
| <b>SOFT COST &amp; FF&amp;E DETAIL</b>                                                     |                                                                                                           |                                                                                                                                                                                  |
| 16 201-2                                                                                   | Roof Abatement — 70,000 SF @ \$21                                                                         | Roof is sampled positive. Please scope abatement to the area the rebuild disturbs (roughly half) and have EMS confirm.                                                           |
| 17 211-1                                                                                   | Attorney Fees — \$0 (“SLA Legal Fees carried in Feasibility DD”)                                          | Already spent inside the feasibility study. Please strip the line rather than carry \$0 with a note.                                                                             |
| 18 500005 / 500006                                                                         | G.L. INSURANCE \$0 / BUILDERS RISK INSURANCE \$0                                                          | Please quote both ways: inside the 9%, and as an owner-controlled programme.                                                                                                     |
| <b>ACROSS THE WHOLE BUDGET</b>                                                             |                                                                                                           |                                                                                                                                                                                  |
| 19 All sheets                                                                              | Your view, not ours                                                                                       | Where do you think we can cut, and what is each cut worth? Line references and all-in value, please.                                                                             |

# 165 Randolph St — “The BLOCK”

## Questions, Recommendations & Clarification on the 16 September Master Development Budget

To: Thomas · cc: Nate (Wake), Eric (EBC) — From: Matthew Teper — 17 September 2026, for the 18 September meeting · 2 ·

### RECOMMENDATIONS — WHAT WE CAN DO TO CUT COSTS

What we would like to do to bring the number down, in the order it is worth doing. Where an item is yours to action it is written as an ask. EBC's positions of 17 September are reflected.

| Lever                                              | Who                 | What and why                                                                                                                                                                                                                                                                                             |
|----------------------------------------------------|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 Restate the contingency formula                  | Thomas              | D67 to its labelled base, and a decision on which contingency stays. About <b>\$6.59M</b> all-in, and it is a formula change, not a re-estimate.                                                                                                                                                         |
| 2 Reconcile the sidewalk bridge to 770 LF          | Thomas              | Your own backup at the real frontage is \$2,411,800 against the \$4,000,000 lump. About <b>\$2.09M</b> all-in.                                                                                                                                                                                           |
| 3 Restructure the contract                         | Us + Thomas         | Cost of the work open-book. General conditions as a <b>rate × duration</b> , capped. Fee as a <b>fixed dollar amount</b> — on the work including unpriced scope, but not on general conditions. Insurance quoted both ways, including an <b>owner-controlled programme</b> . One owner-held contingency. |
| 4 Settle the programme                             | Us + Nate           | Occupied terrace, third floor, restaurant, lounges, foundry. Every square foot removed takes steel, deck, sprinklers, fixtures, HVAC, finishes and general conditions with it. <b>\$5—12M</b> .                                                                                                          |
| 5 Price 055100 off the takeoff, then VE2           | Structural + Thomas | 997 short tons with the 202 tons of built-up plate columns priced separately. VE1 already took 21% out of Rev 43 with no loss of programme; ask for VE2 now the scheme is stable. <b>\$1—3M</b> .                                                                                                        |
| 6 Lower the high roof if +64 ft 6 in is not needed | Nate + structural   | Steel, envelope, scaffolding, crane and erection all move together. <b>\$1—3M</b> .                                                                                                                                                                                                                      |
| 7 Scope the roof abatement to the work             | EMS + Thomas        | The roof is positive, but only the membrane the rebuild disturbs needs to come off — roughly half, not 70,000 SF at \$21. <b>Up to about \$0.7M</b> .                                                                                                                                                    |
| 8 Re-cut HVAC from load, not area                  | Thomas + Highland   | Plant per ton, air side per CFM, \$/SF as a check only. Highland Rev 1 gives about 976 tons and 280,000 CFM, so this is a re-cut, not new engineering.                                                                                                                                                   |
| 9 Coat check lockers — count and spec              | Thomas              | 2,000 is not a fixed number. Propose a count and specification against the 750 @ \$350 placeholder. <b>Swing up to about \$0.97M</b> .                                                                                                                                                                   |
| 10 Shorten the programme                           | Thomas              | 90 weeks of staffing is \$3,141,000. Each quarter off the schedule is about <b>\$420,000</b> of general conditions before anything else.                                                                                                                                                                 |
| 11 Buy out long-lead packages early                | Thomas              | Steel, switchgear, elevators, HVAC plant. Every package fixed early collapses its share of escalation. <b>\$1—2M</b> .                                                                                                                                                                                   |
| 12 Price the plug and expect it to rise            | Thomas              | Send the D26 lines as priced. We expect the number to go <b>up</b> , and it will not be read as your number moving.                                                                                                                                                                                      |
| 13 Seating — wait for counsel                      | Counsel + Nate      | 3,714 chairs at \$125 is a licensing input, not a furniture choice. Do not buy until the classification is ruled. <b>Up to \$0.75M</b> .                                                                                                                                                                 |
| 14 Correct the parking count                       | Thomas              | Off-site parking stays in. D21 reads =86*25000 under a 260-space label; fix whichever is wrong.                                                                                                                                                                                                          |
| 15 Use your own benchmarks to right-size FF&E      | Thomas              | BPT \$837K on 26 POS; soft goods \$725k; audio \$690k; lighting \$450k. They cut both ways — the bar package reads light against them, the audio line reads heavy.                                                                                                                                       |

### TWO THINGS WE DO NOT WANT CUT

**Acoustic treatment.** Next to residential this is the licence to operate. We will not take the lower number.

**The investigation package.** Phase I/II environmental, the existing-conditions survey and a structural peer review of the RFEM model. Each closes an unknown that contingency is currently being held against.

# 165 Randolph St — “The BLOCK”

## Questions, Recommendations & Clarification on the 16 September Master Development Budget

To: Thomas · cc: Nate (Wake), Eric (EBC) — From: Matthew Teper — 17 September 2026, for the 18 September meeting · 3 ·  
**CLARIFICATION — THE REASONING BEHIND PAGES 1 AND 2**

---

### Where the numbers stand

The 16 September Master Development Budget totals **\$89,084,591** — \$1,202/SF on the 74,100 SF footprint, or \$655/SF on the 135,953 SF gross the sheet divides by. Our reconstruction of the trade cost ties to your Trade Cost cell to **\$0.00** across 309 line items, so every figure quoted here is from your workbook, from the RFEM takeoff, or from EBC's 17 September responses.

After those responses, the firm arithmetic corrections are **about \$8.7M** all-in — the contingency formula (about \$6.59M) and the sidewalk bridge re-run on 770 LF of real frontage (about \$2.09M) — rising to **about \$9.7M** if the coat-check lockers land at 750. Neither is a re-estimate. The rest of the difference between us is programme and method, which the next sections cover.

### What EBC's responses settled

**The roof.** It is precast concrete panels on the original steel frame, with zones of composite metal deck where it was replaced or infilled (KBN's 6/2 field verification sketch; visible in the walkthrough photos), and it has been sampled and is positive for asbestos. That closes the roof-lift question we raised: a precast, asbestos-positive roof is not a lift candidate. **We adopt the rebuild the RFEM model prices.** The reasoning that led us to ask is kept below for the record; the question itself is closed.

**135,953 SF has a source.** Cellar 3,500 + first floor 69,722 + second floor 53,379 + roof level 9,352 = 135,953 SF, per the PD-04 set. We withdraw the challenge entirely. What remains is a labelling request — state the basis on the sheet and show \$/SF on the 74,100 SF footprint alongside, because that is the number market comparisons use.

**General conditions and division 013000 are not the same function.** 013000 is project requirements — BIM, reprographics, site office, field technology, signage, security, the safety plan, toilets, clean-up, protection, project labor, rubbish and final clean. The General Conditions tab is staffing. We withdraw the duplication finding and the \$2.6M attached to it. Project Labor at \$2,000,000 as one lump still needs a crew, rate and duration.

**The two lighting lines are not a duplicate.** One is house lighting, the other is show lighting. We withdraw that finding and the \$2.2M attached to it. Both lines stay; the ask is to relabel them so the scopes are unambiguous and to check the show package against the separate \$520,000 performance-lighting line in FF&E.

**Off-site parking is in the deal.** The \$2.26M line stays; only the 86-versus-260 space count needs correcting.

**The sidewalk.** The building fronts about 770 LF of public sidewalk, not the 1,126 LF in the backup rows. Re-run at 770 LF @ \$500 + 27,024 SF @ \$75, your own backup foots to \$2,411,800 against the \$4,000,000 lump.

**Attorney fees** for the SLA, cabaret and theater-classification work are already spent inside the feasibility study; the line should be removed rather than carried at \$0 with a note. **D26** is being priced; we will take the lines as they come.

### The roof — decided, with the reasoning kept on record

**Our scheme, as we had proposed it.** Keep the existing roof and lift it to the target clear height, extending the columns beneath; build the stage on its own footings; build the production mezzanine and the VIP mezzanine from the ground up on their own footings; nothing hangs from the building. The RFEM model does not model that scheme — 124 of 243 column members start at or below +2 ft, all 517 truss members are new between +56.5 and +64.5 ft, the existing-roof level carries zero members, and the words lift, jack, shore and splice appear nowhere in 8,658 rows. It prices a full rebuild with its own mezzanine and an occupied terrace.

**Why it is closed.** The lift depended on what the roof is made of. It is precast panels, and it is asbestos-positive. We adopt the rebuild. We are deliberately not attaching any dollar figure to the lift-versus-rebuild comparison, because the comparison is now moot; the roof is a decision, not a number.

**What survives the decision, and matters more.** The stage, the production mezzanine and the VIP mezzanine remain ground-supported on their own footings. The roof carries weather, snow and itself — and the model already reflects that: the high roof is 8.65 lb/SF of short-span W12 and W6 framing. Please confirm in writing that the roof design loads exclude production rigging, hoists and point loads, so a rigging allowance is not added back at DD and paid for twice in the stage and again in the roof. Separately, the lower roof at 20.81 lb/SF is the heaviest per square foot in the building, heavier than the occupied terrace; if that is dunnage or screening it should say so.

**Where the steel actually is.** Shared columns and vertical bracing: 718,634 lb, 37% of the whole, driven by 60 ft of column height and by carrying the occupied terrace. That is why the programme decision and the roof-height question are the steel levers, and why VE2 should follow the programme decision rather than precede it.

**Units and rate.** The takeoff's tonnes column reads 904.62, which is metric; in short tons it is 997.2, and pricing off the tonnes column understates the steel by 10.2%. Eighty of the columns (202 tons) are shop-welded built-up plate girders, I 48/24 through I 69.023/24; \$6,000/TON is a rolled-shape rate and those should be priced at their own.

### What still needs fixing

**Contingency, about \$6.59M.** D67 computes 10% of the whole project on top of \$5,786,479 of contractor contingency already inside D31. As labelled it would be \$1,507,723; \$578,648 of it is contingency on contingency. Restate it, and say which contingency stays.

**Sidewalk bridge, about \$2.09M all-in.** \$4,000,000 lump against \$2,411,800 of your own backup at the real 770 LF frontage.

**Coat check lockers, up to about \$0.97M.** 2,000 at \$500 is not a fixed number; propose a count and specification.

**Open items.** Project Labor \$2,000,000 with no crew, rate or duration. Interior scaffolding \$2,000,000 with no staging plan, and a sequence that probably does not assume the ground-supported stage and towers are already up. Escalation on the building, blank in every version. G.L. and builder's risk at \$0 on the fit-out sheet — to be quoted inside the 9% and as an owner-controlled programme.

**And D26 rises.** At your own \$6,000/TON the hot-rolled tonnage alone is roughly \$5.9M before the plate-girder premium, and the plug still has to cover every bar, every door, storefront, glazing, tile, fireproofing and most of the drywall. Better now than at buyout.

## **The fee basis**

EBC's position, which we share: the 9% fee should run on unpriced scope, because that scope will be built — but it should not run on general conditions. Today it does: \$555,750 of fee on the \$6,175,000 of general-conditions content, \$672,458 all-in. This is a request to confirm, not an accusation. Beyond that, a fixed dollar fee rather than a percentage stops the fee rising with scope, and insurance is a quotable premium, not a margin — under NY Labor Law 240 the owner is exposed whether or not the contractor holds the policy, so the only question is who buys it and at what markup.

## **Deal structure, for the record**

EBC owns the land; we sign a 30-year lease; Insomniac funds and builds out. Everything here is a leasehold improvement that reverts at the end of the term, and the commercial terms of the build should read that way: the builder is a contractor to the project, not a participant in its economics.